

Fabian Showcase

MINISTRY OF INDUSTRY

Staff: **3,376**

Wages and allowances: **Rs 65.18 crore**

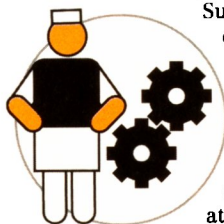
Total plan and non-plan expenditure: **Rs 613.44 crore**

RATIONALE: To facilitate investment and technology and monitor industrial development. The Department of Industrial Policy and Promotion, established in 1995, was reconstituted in 2000 with the merger of the Department of Industrial Development.

REALITY CHECK: In the last two years, Indian companies have gone abroad and acquired companies worth over \$25 billion. FDI last year was over \$15 billion. Sixteen years after the end of Licence Raj, do we really need a separate ministry for facilitating investment?

The original thinking behind the ministry was direct intervention in the process of

industrialisation of backward areas. But after the Industrial Policy of 1991, this role is not possible and industrialisation of backward areas is largely left to state governments. There are, for instance, 26 no-industry districts in the country, but the ministry can do precious little about these. The rationale for the existence of this ministry beyond the issue of politics is to promote industrial development and employment growth. And what is preventing this? A number of studies have been done by the ministry, academics and industry chambers on the bottlenecks hindering investment, implementation of projects and employment growth. All of them point to the plethora of laws regulating projects in various sectors, cumbersome procedures prescribed under various rules and regulations, inadequate transparency and multiplicity of agencies in approvals. Even in its aim of making manufacturing competitive—it costs Rs 100 to make a product made in China for Rs 75—the ministry can do little as the problem of an inverted tax structure can only be fixed by the Ministry of Finance.



Sure with India Everywhere and high-profile campaigns, the ministry has attracted investor interest in India, leading to higher FDI. But its ability to push projects or clearances is limited. In a coalition regime it can only promote a concept thus far. More importantly, a large part of the clearances for major projects is now at the state government level.

Jawaharlal Nehru's 22 ministers to Atal Bihari Vajpayee's 71

